

AUTO RITE IT
PERSONAL DATA

The Secretary of State for Justice and Security

P.O. Box 20301

2500 EH The Hague

Date

Our reference

May 23, 2023

z2023-00034

Contact person

070 8888 500

Subject

Advice on the draft bill for municipal supervision of sex businesses

Dear Mr. Van der Burg,

Authority for Personal Data

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Your letter dated

January 2, 2023

Your reference

4379003

In your letter dated January 2, 2023, the Authority for Personal Data (AP) was consulted based on the provisions of Article 36, fourth paragraph, of the General Data Protection Regulation (GDPR), regarding the amendment of Article 151a of the Municipalities Act in connection with the inclusion of a legal basis for the processing of special personal data by municipal supervisors and operators of sex businesses, within the framework of municipal supervision of sex businesses (municipal supervision of sex businesses) (hereinafter: the draft).

The AP has examined whether the draft concerning the processing of personal data is in accordance with the Charter of Fundamental Rights of the European Union (EU), the general legal principles of the EU, the GDPR, and other relevant law, whereby it must be sufficiently demonstrated that, among other things, the principle of proportionality is met, as follows:

1. The draft is suitable for achieving the pursued objectives of general interest or the requirements for the protection of the rights and freedoms of others (suitability);
2. The objective cannot reasonably be achieved as effectively by other means that are less intrusive to the fundamental rights of the individuals concerned (subsidiarity);
3. The interference is not disproportionate to the objective, which particularly implies a weighing of the importance of the objective and the severity of the interference (proportionality);
4. The draft is sufficiently clear and precise regarding the scope and is predictable in its application (legal certainty);
5. The draft sufficiently indicates under what circumstances and conditions personal data may be processed, thereby providing safeguards for the protection of personal data (substantive and procedural safeguards); and
6. The draft is binding under national law (constitutionality).

1

AUTHORITY
FOR PERSONAL DATA

Date

May 23, 2023

Our reference
z2023-00034

The AP notes that the limitation of the right to respect for the private life of sex workers proposed in the draft essentially concerns a delegation provision. As a result, the AP cannot assess whether the draft, in combination with all municipal regulations, will comply with the principle of proportionality (points 1 to 6). Furthermore, the AP does not find it sufficiently plausible that the draft is suitable for achieving the intended objectives (point 1). The AP has objections regarding these points and advises against continuing the procedure unless the objections are resolved.

Main points

- Ensure that the proposed data processing is clearly and accurately described at the level of formal law and is predictable for sex workers.
- Substantiate the effectiveness of the proposed processing of special personal data of sex workers considering the expected adverse effects.
- Clarify the purpose of the data processing.
- Provide the draft with an adequate retention period.
- Remove Article 151a, fifth paragraph, subparagraph b from the draft, or substantiate the added value of that article.

Scope of the draft

Current powers of municipalities to regulate sex businesses

The municipal council (hereinafter also: the municipality) can, based on Article 151a of the Municipalities Act, set conditions for sex businesses aimed at controlling, directing, and restructuring the prostitution sector and improving the conditions under which work is performed in the prostitution sector. Municipalities determine for themselves whether they impose such conditions, and if so, which ones. The conditions may relate to 1) location policy, 2) layout, hygiene, and safety, and/or 3) business operations. Under the latter, the protection of the position and status of sex workers is also included.

Processing special personal data of sex workers

Conditions regarding business operations could, according to the explanation of Article 151a of the Municipalities Act, consist of obligations to maintain business records containing the current data of the sex workers employed at the sex business and to document an assessment of the degree of self-reliance of the sex worker. However, this data may not be processed by sex businesses. Data of sex workers are, in fact, special.

1 This refers to anyone who commercially provides the opportunity to perform sexual acts with or for a third party for payment.

2 Article 151a of the Municipalities Act and Parliamentary Documents 1996/97, 25 437, no. 3, p. 7.

3 Article 151a of the Municipalities Act and Parliamentary Documents 1996/97, 25 437, no. 3, p. 7.

4 Article 151a of the Municipalities Act and Parliamentary Documents 1996/97, 25 437, no. 3, p. 7.

2/8

AUTO RITE IT

PERSONAL DATA

Date

May 23, 2023

Our reference

22023-00034

personal data; data regarding someone's sexual behavior or sexual orientation.⁵ This data may only be processed if an exception can be invoked. ⁶ Currently, there is no exception to the processing prohibition for sex businesses. Consequently, municipalities cannot impose obligations on sex businesses that require the processing of personal data of sex workers. ⁷ To make the processing of personal data of sex workers possible, the draft provides for a processing basis and an exception to the processing prohibition by amending Article 151a of the Municipalities Act in the sense of Article 9, second paragraph, part g, of the GDPR (the processing is necessary for reasons of significant public interest). This gives municipalities the ability to require sex businesses, based on a municipal

regulation, to process personal data of sex workers for compliance with the regulations established by municipalities. Municipal supervisors will be authorized to process personal data of sex workers if necessary for monitoring compliance with the regulations established by municipalities.

Advice

Assessment of proportionality at the level of formal law

The municipality can establish regulations applicable to sex businesses by ordinance based on Article 151a of the Municipalities Act. According to the draft, the municipality also determines with that ordinance whether personal data of sex workers must be processed by sex businesses for compliance with those regulations.

To this end, the draft provides for an exception to the processing prohibition for reasons of significant public interest. 8 Such an exception must be regulated by national law. The GDPR does not specify at what level of regulation this exception must be provided. Article 10, first paragraph, of the Constitution⁹ does; restrictions on the right to respect for private life must be established by or pursuant to the law.

This means that it must be sufficiently clear from the law (in this case, the Municipalities Act) that the formal legislator has consciously chosen to delegate a restriction authority.

5 Article 9, first paragraph GDPR and according to ABRvS August 29, 2018, ECLI:NL:RVS:2018:2856 and ABRvS December 23, 2020, ECLI:NL:RVS:2020:3087. See also the decision on objection from the Data Protection Authority dated July 28, 2017; https://www.autoriteitpersoonsgegevens.nl/sites/default/files/atoms/files/besluit_op_bezwaar_prostitutiebeleid_den_haag.pdf

6 Article 9 GDPR.

7 See also ABRvS August 29, 2018, ECLI:NL:RVS:2018:2856. In this ruling, the Administrative Jurisdiction Division of the Council of State ruled that the municipality could not invoke the exception of 'significant public interest' for the processing of personal data of sex workers because Articles 149 and 151a of the Municipalities Act do not provide explicit authority to make an exception to the prohibition on processing special personal data. Other exceptions to the processing prohibition, such as explicit consent, could also not be invoked. In ABRvS December 23, 2020, ECLI:NL:RVS:2020:3087, the Administrative Jurisdiction Division of the Council of State ruled similarly.

- Article 9, second paragraph, part g of the GDPR.

9 Article 10 of the Constitution states: "Everyone has the right to respect for their private life, except for restrictions established by or pursuant to the law."

3/8

AUTHORITY

PERSONAL DATA

Date

May 23, 2023

Our reference

z2023-00034

to (in this case) the municipal legislator for a specific purpose.¹⁰ This national standard is met with this concept in formal terms - albeit in the opinion of the AP in the most minimal form.

In addition to this formal requirement, it is important that the Constitution assigns a significant responsibility to the formal legislator: he must assess whether the limitation of fundamental rights of citizens remains within the boundaries set by the Constitution and complies with the requirements of necessity, proportionality, and subsidiarity; in other words, whether the limitation meets the principle of proportionality. This responsibility is not honored if the concrete implementation is almost entirely left to the delegatee. The main elements that must at least be laid down in the formal law are the scope and structural elements of a regulation.¹¹

The concept essentially only provides for the delegation of restrictive powers. At the level of the formal law, the concept only grants authority to the municipal council and does not provide further clarity regarding the specific purposes of data processing, means, scope of the infringement, and safeguards. These will only be prescribed by municipal regulation. Whether and to what extent there is an infringement of the right to respect for the private life of sex workers is therefore only determined in the

municipal regulation. As a result, the formal legislator cannot assess whether the infringement on the private life of sex workers meets the requirements of necessity, proportionality, and subsidiarity,¹² and thus whether the concept meets the requirement that the proportionality of the infringement is guaranteed.¹³ There can also be significant differences between municipalities regarding the extent to which the private life of sex workers is infringed, in addition to the already existing fragmented policy.¹⁴ The AP is of the opinion that allowing and maintaining substantial differences between municipalities concerning the infringement of the private life of sex workers raises serious questions about the necessity of the infringement.

In light of the above, the AP cannot currently assess whether the concept, in combination with all municipal regulations, will meet all the requirements of the principle of proportionality, as mentioned in the assessment framework. The AP will only be able to do this - due to the way the concept has been shaped - once all municipal regulations established under Article 151a, first paragraph, of the Municipalities Act, which prescribe that personal data of sex workers must be

10 See also Parliamentary Documents 111976m, 13872, no. 7, p. 14 "When the legislator wishes to transfer limiting authority to another body, this must be done consciously and after weighing interests, and the law must reflect this. Which law that is does not matter. Delegation provisions can, in principle, appear in any law, provided that it can be derived from the law with sufficient clarity that the legislator has consciously intended to grant a limiting authority and regarding which fundamental right he intended this. We have indicated this requirement with the words 'specific legal provision.' It should be clear that Article 168 of the Municipalities Act and other legal provisions, in which general tasks or powers are formulated, do not meet this requirement." no. 7, p. 14.

11 See the Advisory Division in the (first) advice on the proposal for the WGS (Parliamentary Documents /12019120, 35447, no. 4).

12 See also Parliamentary Documents 1/2019120, 35447, no. 4.

13 Article 9, second paragraph, part g of the GDPR.

14 This while the policy regarding sex work is already highly fragmented, see for example: Policy per municipality - Prostitution Well Regulated.

4/8

AUTO RITE IT

PERSONAL DATA

Date

May 23, 2023

Our reference

z2023-00034

The processing must be assessed. 15 Oak shows that a consideration at the central level and thus the laying down of the main provisions in formal law is strongly preferred. The AP also advises to adjust the draft so that the limitation on the fundamental right at the level of formal law is already sufficiently specific, predictable, and clear.

Suitability and adverse effects

Part of the principle of proportionality is the suitability (also known as: effectiveness) of the processing of personal data (point 1 of the assessment framework). 16 To assess the effectiveness of the measure, it must be tested whether the stated goal can actually be achieved with this measure. 17 According to established case law, legislation is only suitable to ensure the realization of the relevant goal when its realization is pursued coherently and systematically. 18

The AP notes that research shows that requiring sex workers to provide their personal data may result in sex workers actually working in the unlicensed sector out of fear of losing privacy and stigmatization. 19 That effect seems to be contrary to the objectives of the draft. The unlicensed sector is generally less visible to (government) authorities, making it more difficult to combat abuses and improve the position of sex workers. 20

This adverse effect is mentioned in the explanation. It is noted that "it cannot be the case that sex workers find themselves in a vulnerable position because data cannot be processed for the purpose of

compliance with regulations, supervision, and enforcement." However, the explanation accompanying the draft does not address this.

15 Article 36, paragraph 4, of the GDPR states: "Member States shall consult the supervisory authority when drawing up a draft for a legislative measure to be adopted by a national parliament, or a regulatory measure based on it concerning processing." In the opinion of the government, Article 36, paragraph 4, of the GDPR does not obligate decentralized authorities to seek advice on all decentralized regulations. (Parliamentary Documents II, 2017/18, 34851, no. 3). This is different in this case, as the essential elements of the infringement are only regulated by municipal ordinance. Without a mandatory advisory request from the municipality, it cannot be assessed in this specific case—due to the way the draft is structured—whether the draft complies with the principle of proportionality and thus with the GDPR. The AP will have to assess all ordinances individually, as soon as they are ready in draft form. Just as AMvBs and regulations are assessed when there is delegation.

16 Article 52, paragraph 1, Charter of Fundamental Rights of the European Union: "Subject to the principle of proportionality, limitations may be placed on the exercise of rights and freedoms recognized by the Union only if they are necessary and genuinely meet objectives of general interest or the requirements of the protection of the rights and freedoms of others."

17 See, for example, CJEU 9 November 2010, C-92/09 and C-93/09 (Volker und Markus Schecke GbR), para. 74.

18 CJEU 10 March 2009, C-169/07, ECLI:EU:C:2009:141 (Hartlauer), para. 55.

19 Degenhardt and L.M. Lintzen, "Effects of the Prostitution Protection Act on the Prostitution Scene in NRW" (Second corrected version of 14.05.2019), Dortmund, 2019, paragraph 4.2.1 and pp. 47-49; Y. Bleeker, E. Mulder, and W. Korf, "The Nature and Effects of Prostitution Policy," WODC 28 January 2022, pp. 51-54. See also the advice of the Advisory Division of the Council of State on the Regulation of Sex Work Act, Parliamentary Documents //2020/21, 35715, no. 4.

20 The AP has previously raised questions about the suitability of a licensing requirement for sex workers and the associated national registration in which special categories of personal data of sex workers are processed; advice regulation sex work.pdf (authoritypersonaldata.nl). The Advisory Division of the Council of State has expressed similar concerns (Parliamentary Documents //2020/21, 35715, no. 4, pp. 11-12).

21 Explanation, p. 8.

5/8

AUTO RITE IT

PERSONAL DATA

Date

May 23, 2023

Our reference

z2023-00034

the expected negative effect of the intended data processing and how this risk is mitigated.

Considering the (not purely hypothetical but) real risk that sex workers, due to an obligation to provide personal data, will indeed turn to the unlicensed sector, and the lack of consideration in the explanation regarding this adverse effect and the mitigating measures to be taken, it is, in the opinion of the AP, not yet plausible that the stated objective can actually be achieved with the draft (point 1 of the assessment framework).

The AP advises to justify the effectiveness of the draft and specifically address the effects of the draft that are contrary to its objectives and the mitigating measures to be taken, or to refrain from the draft.

Purpose limitation

In the explanation accompanying the draft, it is stated that the draft aims to create a safe and healthy sector for sex workers and to combat illegal prostitution.

In the draft and the explanation, this objective is described in various ways. The preamble states that

the processing of special personal data is desirable in connection with compliance, supervision of compliance, and enforcement of regulations established under Article 151a of the Municipalities Act. The explanation mentions that the objective of Article 151a is to: "steer and sanitize the prostitution sector and improve the conditions under which work is performed in the prostitution sector," "protect the physical and mental integrity," "take measures in the area of hygiene and health, safety," "create a safe and healthy sector for sex workers and combat illegal prostitution," and "improve the social position of sex workers and combat abuses."

The purpose for which personal data is processed must be clearly defined and explicitly described.

The AP notes that this requirement is not met, as the purpose of the data processing is described differently in the draft and in the explanation.

The AP advises to describe the purpose of the data processing unambiguously in the draft and in the explanation.

22 Explanation, p. 7.

23 Explanation, p. 3-4.

24 Explanation, p. 4

25 Explanation, p. 5.

26 Explanation, p. 7.

27 Explanation, p. 8.

28 Article 5, first paragraph, part b of the GDPR and point 4 of the assessment framework.

6/8

AUTO RITE IT

PERSONAL DATA

Date

May 23, 2023

Retention period

Our reference

z2023-00034

Article 151a, fifth paragraph, part b states that the personal data of sex workers shall not be retained longer than necessary for the purpose of the processing referred to in the fourth paragraph and shall be destroyed no later than five years after the last processing.

Almost all actions that can be performed with personal data qualify as processing. The provision that data will be deleted five years after the last processing effectively undermines the principle of storage limitation, as the five-year period can be 'restarted' simply by consulting the data. Thus, the proposed retention period appears more as a legitimization of a (too) long retention period than as a safeguard. The AP advises to establish a retention period in the draft that safeguards the rights of the data subjects and to substantiate that period in the explanation.

Prohibition of overwriting

Article 151a, fifth paragraph, part a of the draft is a copy of Article 6, second paragraph, part g of the GDPR;

Directly applicable European legal provisions may not be incorporated into national legislation unless this is necessary due to a special reason. The AP finds that no special reason has been demonstrated. The AP advises to delete Article 151a, fifth paragraph, part a from the draft or to elaborate on the added value of Article 151a, fifth paragraph, part a in the explanation.

Workload

Given the existing tasks of the AP, it is likely that the draft will require additional effort from the AP.

This additional effort has not yet been accounted for in the financing of the AP. This must be appropriately addressed by the Secretary of State for Justice and Security prior to the entry into force, in consultation with the Minister for Legal Protection as the responsible minister for the budget from which the AP is financed.

29 Article 288 of the Treaty on the Functioning of the European Union states, "A Regulation has

general application. It shall be binding in its entirety and directly applicable in all Member States." See also Article 9.9 of the Regulatory Guidelines.

7/8

AUTO RITE IT
PERSONAL DATA

Date

May 23, 2023

Our reference

z2023-00034

Publication of the advice

The AP intends to make this advice public no earlier than four weeks after the date on its website www.autoriteitpersoonsgegevens.nl. Unless otherwise notified, it assumes that there are no objections to this.

Yours sincerely,
Chairman

8/8

Authority for Personal Data

Aleid Wolfsen